

Michigan Service Provision and Limited Service Agreements

Service Provision Agreement

A service provision agreement establishes a relationship between a client and agent. Buyer representation or buyer broker agreements establish a buyer agency relationship and listing agreements establish a seller agency relationship.

Michigan law prohibits licensees from entering into net service provision agreements, or what's commonly called a net listing. A net listing is an agreement in which a seller and broker agree that the broker will receive all net proceeds from a sale above a specified sales price. For example, Jerome is listing Kim's house. She tells him she needs to get at least \$225,000, but that any amount above that he can keep. This agreement would be illegal in Michigan.

Licenses are also required to take certain actions related to these agreements. First, licensees must ensure the agreement is completed in its entirety before obtaining a party's signature. Second, licensees must provide the party with a copy of the executed agreement at the time of signing.

Now let's turn our attention to the information the agreement contains, or doesn't contain. Agreements must include:

- A definite expiration date
- Fair housing language informing the property owner that it's illegal for the agent, broker, seller or lessor to discriminate on the basis of religion, race, color, national origin, age, sex, disability, familial status, or marital status.
- The minimum duties licensees must perform under the agreement (these are also provided in the agency disclosure). This includes the duty to:
 - Exercise reasonable skill and care when representing the client and performing agency responsibilities
 - Perform duties according to the term of the service provision agreement (also known as the agency agreement)
 - Loyalty to the client's interests
 - Licensees can't misrepresent material facts either directly or indirectly. Licensees must fully disclose known material facts about the property's condition to buyers and sellers. Licensees won't face disciplinary action for providing these disclosures, nor does the licensee breach their duty of loyalty to a client for making required disclosures.
 - Additionally, a licensee doesn't breach any duties for failing to disclose information obtained through other agency agreements, whether past or present. For example, Megyn previously represented Sam, a seller. During that relationship, Sam revealed the lowest price at which he would sell the property. The listing agreement expired without a sale and Megyn and Sam parted ways. Now, Megyn represents a buyer who is interested in Sam's property listed by another licensee. If Megyn keeps confidential the price at which Sam is willing to sell, she doesn't breach her loyalty (or any duties) to her current buyer client.
 - Comply with local, state, and federal laws, rules, and regulations
 - Refer clients to licensed professional for matters outside the scope of a real estate licensee's expertise
 - Account for money and property received in a timely manner
 - Maintain confidentiality of information received during the relationship, including keeping this information confidential from other licensees who don't represent the client.
 - Information may be disclosed with the client's permission or if required by law. For example, if a seller says a property has lead-based paint, but wishes to keep that confidential, the licensee must disclose this to comply with federal laws requiring disclosure of lead-based paint.
- Services an agent should perform for a client including (some of these may be waived with a written limited service agreement):
 - Marketing the property when representing a seller or landlord
 - Receiving and presenting offers or counteroffers
 - Licensees must recommend to buyers that they require the seller to provide a fee title policy to the buyer in an amount equal to the purchase price, and have the policy issued at or near purchase closing.
 - Assisting in preparing and delivering offers, counteroffers, and related documents, including assisting in negotiations of offers and counteroffers until an agreement is in place and all contingencies are met or waived
 - Continuing to assist the client after a purchase agreement is signed and until transaction closing by ensuring contract terms are being met
 - Licensees can't close on a transaction on any terms that differ from those included in the written purchase agreement, unless both buyer and seller provide written approval otherwise.
 - Specific to brokers or associate brokers involved in transaction closings, providing or ensuring transaction parties are provided with complete and detailed closing statements that shows receipts and disbursements related to the party. The statement is signed by the broker or associated broker. This service doesn't apply if the closing is performed by an agent of a title insurance company who's licensed and authorized to do so.

Agreements can't include a clause requiring the client to provide notice to the broker of their intent to cancel an agreement upon or after expiration. In other words, Mike has an agreement with Broker Bill that's set to expire in six months. Broker Bill can't require Mike to provide notice of intent to cancel the agency relationship that's set to expire.

If a service provision agreement between a licensee and seller is in place, the property can't be advertised as "For Sale by Owner." This is misleading as it gives the impression that the owner is not represented by a real estate agent.

The Limited Service Agreement

Under Michigan law, real estate licensees are required to perform specific duties and services for their clients, but clients can waive certain services. A limited service agreement is used to waive a licensee's services. Specifically the following services can be waived:

- Accepting offers and counter-offers of sale, purchase, or lease
- Presenting offers and counter-offers of sale, purchase, or lease
- Assisting the client in preparing, presenting, and negotiating offers and counteroffers and all of the documentation that goes with an offer
- Assisting the client after the purchase agreement has been signed to complete the sale, purchase, or lease

Perhaps your client has prior experience or doesn't want assistance with some aspects of the transaction. The limited service agreement allows your client to waive certain services (in other words, limiting the services) that a licensee normally provides. Your clients can identify the services they want to waive, sign the form, and the licensee is not obligated to provide those services.